Summing up

It is hard for the state to be paternalistic as it does not know enough about individuals. Each person is different, and only the individual can choose what is best for herself.

When the government tries to be paternalistic, value judgements are made by policymakers which are not amenable to rational discourse.

No country solved poverty through redistribution. The first priority of policymakers should be to establish a vibrant market economy, through which the size of the pie grows strongly. After this, taxation can be used to obtain budgetary resources which are then redistributed.

Distortions of the market economy, induced in the pursuit of redistribution, hinder GDP growth. That is tantamount to killing the golden goose. Subsidies distort behaviour of recipients. The marginal cost of public funds in India is high. The cost imposed upon the economy for Re 1 of public expenditure is about Rs 3. This implies that subsidy programmes induce a large adverse impact upon the GDP.

It is easy to build state capacity for paying out subsidies such as the NREGS; it is hard to build state capacity for public goods such as the police. Competing political parties tend to enlarge subsidy expenditures as a way to win elections. The establishment of large subsidy programmes and the sense of entitlement that tends to arise around them create fiscal risk.

Fighting poverty should be the clear objective of one or two anti-poverty programmes. The objective of the remainder of government should be to address market failure, without bringing distributional considerations into the picture.